

Ahoy! Hearties

The video streaming sector has undergone a remarkable transformation accelerated by the unforeseen global pandemic that compelled millions to seek entertainment within the confines of their homes. This surge in demand led to platforms that saved content legally and illegally witnessing an unprecedented growth. Platforms such as Disney+ saw astonishing growth amassing more than 60 million subscribers during the pandemic which essentially put them way ahead of their projected growth metrics. They hit their targets four years ahead of schedule. On the other hand, there has been a significant growth in piracy as well with each year seeing double digit growth. So what's causing users to opt for the high seas?

It's not a unidimensional answer. The pandemic was a double-edged sword for the streaming industry. On one hand, it bolstered the subscriber base of legal streaming services, offering a lifeline to those starved of entertainment options. On the other hand, it exacerbated financial prudence among consumers, of which many cut down on spending for luxury. Entertainment is luxury, by the way. It definitely didn't make sense for consumers to subscribe to multiple platforms only to get access to a handful of exclusive titles. This, coupled with the emergence of multi-tiered subscription models offering exclusive content, inadvertently fueled the rush to ride the waves of the high seas. And don't get me started on the instability of content libraries. One day you see a show on one platform and the next day, it'd be moved to another. It's extremely irritating if you're mid-way between a season when this happens. This happened recently to me when I was watching Star Trek: Strange New Worlds. One season was on Amazon Prime and the second season was on Jio Cinema. Now, both are on Jio Cinema's premium tier.

The resurgence of piracy underscores a fundamental issue within the streaming sector: it is, at its core, a service problem. The advent of streaming was heralded as a consumer-friendly alternative to traditional cable services, promising an end to monopolistic practices that long irked viewers. Yet, in an ironic twist of fate, streaming platforms have begun to turn into the very



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entities that they once vowed to replace. You can thank exclusive licensing agreements, silly subscription tier and an unpredictable hopping of content between platforms.

Platforms have often blamed pricing as a problem. That's not exactly true. A little market research and audience polling can provide invaluable insights into consumer pricing tolerance and preferences. Thus, providing a blueprint for sustainable pricing strategies that provide a balance between pricing and profitability. The challenge lies in execution. We know very well that the proliferation of subscriptions, not just in streaming but across the software industry, has often led to reduction in quality. Lifetime license services moved to subscription models and users ended up being guinea pigs or beta testers. So it's no surprise that paying consumers get pushed towards piracy not because of malice rather because of a sense of disenfranchisement with the value proposition of the legal alternatives.

The streaming industry approach to content exclusivity and this constant hopping of content from one service to another has cultivated a transient loyalty among consumers. Folks would rather prefer to get one bundled package with multiple streaming services than invest in each of them one-by-one. Unfortunately, these individual services are planning on getting customers to opt out of packages and subscribe to them individually.

The rise of piracy is a complex phenomenon that isn't just about free content. It is a barometer of consumer satisfaction, or lack thereof. The path forward is not through restrictive practices and punitive measures against piracy but through a deeper understanding of the consumer psyche. And it goes without saying that streaming services need to commit to delivering value that justifies the price of admission. If streaming services wish to hinge purely on self-produced exclusives, then the pricing is much lower than what the platforms are charging right now as that brings them much closer to a traditional TV channel. If the quality of the service improves and there is a continuous supply of fresh in-demand content, then the consumers will pay. Otherwise, into the briny deep the consumers go. **d**